

# EVOLVING MOBILITY LANDSCAPE Set to Boost AUTOMOTIVE ELECTRONICS MARKET In India

Engine control unit, EV/HV, HVAC, infotainment, and lighting account for 95% of the automotive electronics demand in the country. Government initiatives, such as the Automotive Mission Plan, which aims to produce 940 million vehicles by FY26, are expected to generate significant demand for automotive electronics over the next five years. According to Frost & Sullivan, the Indian automotive electronics market has the potential to generate revenue of \$9.2 billion by 2025



**RUDRANIL ROYSHARMA** is Director, Energy & Environment Practice at Frost & Sullivan

**T**he automotive industry in India is transforming because of its sustained growth and profitability. Indian automotive industry currently accounts for 7.1% of GDP and 49% of manufacturing output, generating 32 million direct or indirect employments. Based on the Automotive Mission Plan 2019-2026, a collective vision of the government of India and the Indian automotive industry, the sector is expected to employ 36 million people by 2026,

according to the Automotive Skill Development Council.

The industry has made a strong recovery in CY2021, with the passenger vehicle segment registering a record 26% Y-O-Y growth, as per the Society of Indian Automobile Manufacturers. The Indian automotive market, particularly the passenger vehicle segment, is expected to grow at a CAGR of 10% to 12% (as per CRISIL) over the next five years. This will be driven by increasing urbani-

